

Feb 13, 2026

Media

AENT

NASDAQ

Rating

Outperform

Unchanged

Current Price

\$6.38

Target Price

\$9.00

Market Capitalization

325.11m

Shares Outstanding

50.96m

Float

2.85m

Institutional Holdings

0.27%

12-Month Low/High

\$2.21/\$8.80

Average 90-Day Volume

65670

Fiscal Year End

06/30/2026
Revenues (\$ MIL)

Period	2025	2026E	2027E
Q1	229.0	253.9A	
Q2	393.7	368.7A	
Q3	213.0	223.1E	
Q4	227.8	228.9E	
	1063.5	1074.7E	1125.6E

EPS (\$)

Period	2025A	2026E	2027E
Q1	0.01	0.10A	
Q2	0.14	0.18A	
Q3	0.04	0.02E	
Q4	0.11	0.04E	
	0.30	0.33E	0.53E

Alliance Entertainment Holding

A Disappointing Quarter, But Profitability and Margin Execution Was Strong

Softer than expected revenue and adj. EBITDA. Fiscal Q2 revenue of \$369.0 million was below our \$402.1 million estimate and down from \$394.0 million a year earlier. The largest revenue variance appeared to be attributable to the lack of arcade inventory in its gaming division due to the bankruptcy of one of its vendors. Adj. EBITDA of \$18.1 million was below our \$25.3 million estimate, as a result of higher than expected costs in its licensing business.

Maintains strong margin dynamics. The company maintained strong gross margins at 12.8%, a 210 basis point improvement year over year, but down from our 16.2% estimate. The gross margin was surprisingly solid when considering the significant revenue shortfall. Margins benefited from favorable product mix, structural improvement and cost discipline. In addition, adj. EBITDA margins improved year over year as well (5.0% vs 4.1%).

Revising estimates lower. While we believe that a portion of the revenue shortfall may be somewhat temporary, we are concerned that costs in its licensing business may run at a higher than expected rate. As such, we are lowering our fiscal 2026 and 2027 revenue and adj. EBITDA estimates to reflect a more sober view.

Alliance maintains a solid balance sheet. As of December 31, 2025, the company had working capital of approximately \$74.1 million. Notably, the company refinanced its asset-based lending agreement with a new \$120 million senior secured facility, which reduced borrowing costs by roughly 250 basis points. The company had roughly \$35 million of availability at quarter's end. In our view, the company had adequate liquidity to support inventory investment, its exclusive partnerships, and strategic growth initiatives.

Lowering price target to \$9. Due to our lowered expectations, we are lowering our price target from \$11 to \$9. Our price target is based on our fiscal 2027 adj. EBITDA estimate, which maintains our target multiple of 11x. Near current levels, the AENT shares trade at 8.3x fiscal 2027 adj. EBITDA, well below its peer group average of roughly 11x. We are maintaining our Outperform rating, and we would encourage investors to be opportunistic in building positions.

Equity Research

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Investment Appraisal

Alliance Entertainment reported fiscal second quarter results that were below our revenue and adjusted EBITDA expectations, although profitability and margin performance continued to improve. For the quarter ended December 31, 2025, net revenues were \$368.7 million, compared with \$393.7 million in the prior-year period and below our \$402.1 million estimate. The revenue shortfall was largely attributable to short supply with Microsoft consoles, which adversely affected its gaming business by \$24 million. In addition, revenues were adversely affected by \$34 million due to the absence of arcade inventory in the Holiday period. The company is currently in conversations with Basic Fun, the arcade company, on the prospect of a future distribution agreement for its arcades and is expected to have some inventory by year end for sell through into the 2026 Holiday season.

Despite the top-line pressure, cash flow and profitability metrics were strong in spite of missing expectations as illustrated in Figure #1 Recent Results. Gross margins were a surprisingly strong 12.8%, up 210 basis points year over year, in spite of the revenue shortfall, due to favorable product mix, structural improvements and cost discipline. As a result, adj. EBITDA increased year over year from \$16.1 million to \$18.5 million, although it was below our \$25.3 million estimate. Notably, adj. EBITDA margin was 5.0% in the latest quarter, which improved from 4.1% in the year earlier comparable quarter. Net income was \$9.4 million, or \$0.18 per diluted share (vs. \$7.1 million, or \$0.14 in Q2 FY25).

As we look forward toward the second half of the year, we believe signs are positive, but trends appear to be moderating. Vinyl sales, in particular, increased 2.8% in the latest quarter, moderating from the 7.8% fiscal first quarter revenue growth rate. Compact disc revenue increased 5%, reflecting the first full quarter of Virgin Music Group distribution via AMPED. Notably, Virgin Music shifted its indie music labels, which included the physical distribution of CDs and Vinyls to Alliance Entertainment's AMPED distribution company. That shift was not entirely reflected in the fiscal first quarter. As we look toward the second half, we anticipated moderating revenue trends, with Vinyl Record Sales in the third quarter expected to increase 0.7% and CD sales to be up 2.3%. Our estimates may be conservative should the long awaited Bruno Mars album perform better than expected.

In addition, we believe that the company's Alliance Authentic and the launch of EndState Authentic, an NFC-enabled authentication and digital product identity platform, could provide another key growth driver for its physical media business in coming quarters. The company introduced Alliance Authentic, which applies authentication, scarcity, and provenance capabilities to premium vinyl collectibles. We view this initiative as strategically significant as it extends Alliance beyond traditional distribution, enables authenticated ownership and resale verification, introduces potential recurring platform-driven revenue, and enhances product differentiation and pricing power. The company is positioning itself at the intersection of physical collectibles and digital product identity.

Finally, the Collectibles revenue was a bright spot. Revenues increased a strong 31% driven by higher average selling prices, premium licensed product mix, and integration of Handmade by Robots. In our view, collectibles remain a key long term growth and margin expansion driver for the company. We anticipate that Collectible revenue will continue to ramp revenues in the second half of the year and reflect an acceleration in revenue trends. Our estimate anticipates third quarter Consumer Products revenue to increase nearly 45%.

As Figure #2 Fiscal 2026 Revisions illustrates, we are taking a more sober view of the company's second half outlook. We are lowering our fiscal 2026 revenue expectation from \$1.109 billion to \$1.075 billion. A large portion of the fiscal full year revenue revision reflects the fiscal second quarter "miss" in the Gaming Products division, related to limited Microsoft consoles and the temporary disruption associated with new ownership in the arcade category. We have refined gross margins slightly lower in the second half due to lower than expected margins in its licensed products division. The company may find a resolution to this cost increase, and, as such, there could be upside surprise potential. Using 2026 as a base year, we are adjusting our fiscal 2027 estimates, and largely maintaining our original revenue and adj. EBITDA growth rates, while factoring in incremental arcade revenue. As such, we are revising our fiscal 2027 revenue estimate from \$1.153 billion to \$1.126 billion and our adj. EBITDA estimate from \$63.1 million to \$49.1 million, as illustrated in Figure #3 Fiscal 2027 Revisions.

Alliance maintains a solid balance sheet. As of December 31, 2025, the company had working capital of approximately \$74.1 million. Notably, the company refinanced its asset-based lending agreement with a new \$120 million senior secured facility, which reduced borrowing costs by roughly 250 basis points. The company had roughly \$35 million of availability at quarter's

end. In our view, the company had adequate liquidity to support inventory investment, its exclusive partnerships, and strategic growth initiatives.

While the revenue and adj. EBITDA "miss" in the quarter tempers our very near-term enthusiasm, we believe that the company's structurally improved margin profile, its exclusive distribution agreements, expansion into authenticated collectibles, and strengthened balance sheet support its growth initiatives and long term value creation. Near current levels, the shares trade at 8.3x our revised 2027 adjusted EBITDA estimate, compared with a peer group average near 11x. We have lowered our price target from \$11 to \$9 to reflect our lowered 2027 expectations. Nonetheless, we believe that the shares offer compelling upside appreciation potential and are maintaining our Outperform rating.

Figure #1 Recent Results

Total Consolidated (In thousands except per share data)	Q2 26E Dec	Q2 26 Dec	% Change
Vinyl Record Sales	118.000	112.000	-5.1%
% Change	8.3%	2.8%	
% of Total Revenues	29.3%	30.4%	
% of Full Year	30.5%	30.5%	
Music Compact Discs	41.910	41.000	-2.2%
% Change	7.5%	5.1%	
% of Total Revenues	10.4%	11.1%	
% of Full Year	33.0%	33.0%	
Movie Sales	106.080	114.000	7.5%
% Change	23.3%	32.6%	
% of Total Revenues	26.4%	30.9%	
% of Full Year	34.0%	34.0%	
Consumer Products	18.000	14.000	-22.2%
Growth	50.0%	16.7%	
% of Total Revenues	4.5%	3.8%	
% of Full Year	36.0%	36.0%	
Gaming Products	112.171	80.000	-28.7%
Growth	-19.9%	-42.9%	
% of Revenues	27.9%	21.7%	
% of Full Year	53.4%	53.4%	
Other	6.000	7.712	28.5%
Growth	-21.8%	0.5%	
Total Revenues	402.161	368.712	-8.3%
Growth	2.2%	-6.3%	
Cost of Revenues	337.011	321.616	-4.6%
Growth	-4.1%	-8.5%	
% of Revenues	83.8%	87.2%	
Gross Profit	65.150	47.096	-27.7%
Growth	54.1%	11.4%	
% of Revenues	16.2%	12.8%	
Operating Expenses			
Distribution and Fulfillment Expense	15.885	12.121	-23.7%
Growth	27.9%	-2.4%	
% of Revenues	3.9%	3.3%	
Selling, General and Administrative Expense	24.130	16.591	-31.2%
Growth	74.9%	20.2%	
% of Revenues	6.0%	4.5%	
Stock based compensation	0.125	0.069	
Adjusted EBITDA	25.260	18.453	-26.9%
Growth	57.2%	14.8%	
Margin	6.3%	5.0%	

Source: Nobel estimates & Company filings

Figure #2 Fiscal 2026 Revisions

Total Consolidated (In thousands except per share data)	Q3 26E Mar	Q3 26R Mar	% Change	Q4 26E Jun	Q4 26R Jun	% Change	2026E	2026 R	% Change
Vinyl Record Sales	86.596	88.000	1.6%	92.202	92.200	0.0%	372.598	368.000	-1.2%
% Change	0.7%	2.3%		-2.9%	-2.9%		3.4%	2.1%	
% of Total Revenues	38.8%	39.4%		40.2%	40.3%		33.6%	34.2%	
% of Full Year	23.9%	23.9%		25.4%	25.4%			0.0%	
Music Compact Discs	21.483	21.483	0.0%	29.846	29.846	0.0%	127.139	126.229	-0.7%
% Change	2.3%	2.3%		2.9%	2.9%		3.0%	2.3%	
% of Total Revenues	9.6%	9.6%		13.0%	13.0%		11.5%	11.7%	
% of Full Year	16.9%	16.9%		23.5%	23.5%		100.0%	100.0%	
Movie Sales	71.500	75.000	4.9%	62.200	65.000	4.5%	323.780	338.000	4.4%
% Change	23.3%	29.3%		3.7%	8.3%		26.0%	31.6%	
% of Total Revenues	32.0%	33.6%		27.1%	28.4%		29.2%	31.5%	
% of Full Year	21.0%	21.0%		18.0%	18.0%			0.0%	
Consumer Products	11.600	11.600	0.0%	9.900	9.900	0.0%	47.800	43.800	-8.4%
Growth	45.0%	45.0%		52.3%	52.3%		41.4%	29.6%	
% of Total Revenues	5.2%	5.2%		4.3%	4.3%		4.3%	4.1%	
% of Full Year	23.2%	23.2%		19.8%	19.8%		100.0%	100.0%	
Gaming Products	23.235	20.000	-13.9%	28.350	25.000	-11.8%	209.356	170.600	-18.5%
Growth	-19.9%	-31.0%		-21.3%	-30.6%		-20.1%	-34.9%	
% of Revenues	10.4%	9.0%		12.4%	10.9%		18.9%	15.9%	
% of Full Year	11.1%	11.1%		13.5%	13.5%		100.0%	100.0%	
Other	9.000	7.000	-22.2%	7.000	7.000	0.0%	28.300	28.086	-0.8%
Growth	-18.5%	-36.6%		460.0%	460.0%		5.8%	5.0%	
Total Revenues	223.414	223.083	-0.1%	229.498	228.946	-0.2%	1,108.973	1,074.715	-3.1%
Growth	4.9%	4.7%		0.8%	0.5%		4.3%	1.1%	
Cost of Revenues	192.000	194.000	1.0%	197.000	199.000	1.0%	942.804	931.409	-1.2%
Growth	4.4%	5.4%		2.7%	3.8%		1.3%	0.1%	
% of Revenues	85.9%	87.0%		85.8%	86.9%		85.0%	86.7%	
Gross Profit	31.414	29.083	-7.4%	32.498	29.946	-7.9%	166.243	143.306	-13.8%
Growth	8.1%	0.1%		-9.6%	-16.7%		25.1%	7.9%	
% of Revenues	14.1%	13.0%		14.2%	13.1%		15.0%	13.3%	
Operating Expenses									
Distribution and Fulfillment Expense	9.100	9.500	4.4%	9.200	9.200	0.0%	44.105	40.741	-7.6%
Growth	-8.9%	-4.9%		2.8%	2.8%		9.2%	0.9%	
% of Revenues	4.1%	4.3%		4.0%	4.0%		4.0%	3.8%	
Selling, General and Administrative Expense	13.100	15.500	18.3%	13.500	15.750	16.7%	65.808	62.919	-4.4%
Growth	-7.7%	9.3%		-10.2%	4.7%		17.2%	12.0%	
% of Revenues	5.9%	6.9%		5.9%	6.9%		6.0%	6.0%	
Stock based compensation	0.125	0.125		0.125	0.125		0.500	0.500	
Adjusted EBITDA	9.339	4.208	-54.9%	9.923	5.121	-48.4%	56.730	39.990	-29.5%
Growth	91.2%	-13.9%		-17.5%	-57.4%		56.0%	10.0%	
Margin	4.2%	1.9%		4.3%	2.2%		5.1%	3.7%	

Source: Noble estimates & Company filings

Figure #3 Fiscal 2027 Revisions

Total Consolidated (In thousands except per share data)	2027E	2027R	% Change
Vinyl Record Sales	365.000	365.000	0.0%
% Change	-2.0%	-0.8%	
% of Total Revenues	31.7%	32.4%	
% of Full Year	100.0%	100.0%	
Music Compact Discs	130.000	130.024	0.0%
% Change	2.3%	3.0%	
% of Total Revenues	11.3%	11.6%	
% of Full Year	100.0%	100.0%	
Movie Sales	354.000	355.000	0.3%
% Change	9.3%	5.0%	
% of Total Revenues	30.7%	31.5%	
% of Full Year		0.0%	
Consumer Products	89.000	72.000	-19.1%
Growth	86.2%	64.4%	
% of Total Revenues	7.7%	6.4%	
% of Full Year	100.0%	100.0%	
Gaming Products	188.000	178.550	-5.0%
Growth	-10.2%	4.7%	
% of Revenues	16.3%	15.9%	
% of Full Year	100.0%	100.0%	
Other	27.000	25.000	-7.4%
Growth	-4.6%	-11.0%	
Total Revenues	1,153.000	1,125.574	-2.4%
Growth	4.0%	4.7%	
Cost of Revenues	976.000	970.000	-0.6%
Growth	3.5%	4.1%	
% of Revenues	84.6%	86.2%	
Gross Profit	177.024	155.574	-12.1%
Growth	6.5%	8.6%	
% of Revenues	15.4%	13.8%	
Operating Expenses			
Distribution and Fulfillment Expense	46.121	42.000	-8.9%
Growth	4.6%	3.1%	
% of Revenues	4.0%	3.7%	
Selling, General and Administrative Expense	68.297	65.000	-4.8%
Growth	3.8%	3.3%	
% of Revenues	5.9%	5.8%	
Stock based compensation	0.500	0.500	
Adjusted EBITDA	63.106	49.074	-22.2%
Growth	11.2%	22.7%	
Margin	5.5%	4.4%	

Source: Noble estimates

Company Profile

Alliance Entertainment (Nasdaq: AENT) is a premier distributor and fulfillment partner serving the entertainment and collectibles industry. The company provides a broad range of products across music, video, video games, licensed merchandise, and pop culture collectibles, reaching major online marketplaces and tens of thousands of retail storefronts. Alliance's platform is distinguished by its exclusive content partnerships with leading studios and labels, including Paramount Pictures, and its growing presence in higher-margin categories such as collectibles through brands like Handmade by Robots and its partnership with Master Replicas. The company significantly expanded its scale in 2013 through the acquisition of the Alliance Entertainment brand. Since then, it has completed more than a dozen acquisitions and today operates with a capital-light, asset-based model supported by nationwide logistics capabilities. Headquartered in Plantation, Florida, Alliance continues to build on its role as a key intermediary between content owners and retailers.

Fundamental Analysis 3.5/5.0 Checks

We assign a fundamental score of 3.5 out of 5.0, which is above average. The company scores highly on financial leverage following its low-cost revolving credit facility and lack of long-term debt, as well as on competitive position given its exclusive distribution agreements and leadership in physical media and collectibles. Experienced management is another strength, though the potential dilutive impact of equity awards remains a consideration. The lowest scoring attribute is operating leverage, as the business continues to work toward margin expansion through licensing and collectibles. Overall, Alliance's strong positioning and balance sheet flexibility provide a solid foundation, while execution on margin improvement will be key to lifting the fundamental profile further.

Valuation Summary

Near current levels, the shares trade at 8.3x fiscal 2027 adj. EBITDA, a meaningful discount to the peer group average of roughly 11x. We believe this gap undervalues the company's ability to generate improved adj. EBITDA through higher-margin revenue streams. Our price target is \$9, which reflects a target multiple of 11x EV/2027 EBITDA, more in line with industry peers. Importantly, our valuation framework is grounded in what we view as conservative assumptions, leaving room for positive surprise if execution exceeds expectations. Looking forward, we anticipate margin improvement driven by increased licensing revenue and expansion of the Collectibles business and higher margin licensing deals. Cash flow leverage is expected to follow from this margin mix shift, while further consolidation in the distribution industry presents an additional catalyst. Alliance has a demonstrated history of executing accretive tuck-in acquisitions, and its financing structure provides the flexibility to pursue further M&A that can augment the revenue and cash flow growth profile.

In our view, the shares present a compelling risk/reward opportunity. AENT is trading below its peer set despite a broad distribution scale and improving unit economics. The combination of balance sheet improvements, margin expansion, and potential consolidation should support multiple expansion toward peer averages, with additional upside if industry conditions or M&A opportunities provide incremental tailwinds.

Risks to achieving our price target include potential shifts in consumer demand away from physical media, supply chain or logistics disruptions, loss of key supplier or customer relationships, execution risk around acquisitions, and broader macroeconomic pressures such as tariffs, inflation, or rising interest rates.

Alliance Entertainment Holding (AENT) | Current Price: \$6.38 | Outperform | Feb 13, 2026

Total Consolidated	2025	Q1 26	Q2 26	Q3 26E	Q4 26E	2026E	2027E
(In thousands except per share data)		Sep	Dec	Mar	Jun		
Vinyl Record Sales	360,500	75,800	112,000	88,000	92,200	368,000	365,000
% Change	9.6%	7.5%	2.8%	2.3%	-2.9%	2.1%	-0.8%
% of Total Revenues	33.9%	29.8%	30.4%	39.4%	40.3%	34.2%	32.4%
% of Full Year	100.0%	20.3%	30.5%	23.9%	25.4%	100.0%	100.0%
Music Compact Discs	123,400	33,900	41,000	21,483	29,846	126,229	130,024
% Change	-5.1%	-1.5%	5.1%	2.3%	2.9%	2.3%	3.0%
% of Total Revenues	11.6%	13.3%	11.1%	9.6%	13.0%	11.7%	11.6%
% of Full Year		26.6%	33.0%	16.9%	23.5%	100.0%	100.0%
Movie Sales	256,900	84,000	114,000	75,000	65,000	338,000	355,000
% Change	25.9%	58.8%	32.6%	29.3%	8.3%	31.6%	5.0%
% of Total Revenues	24.2%	33.1%	30.9%	33.6%	28.4%	31.5%	31.5%
% of Full Year		24.0%	34.0%	21.0%	18.0%		
Consumer Products	33,800	8,300	14,000	11,600	9,900	43,800	72,000
Growth	-21.4%	13.7%	16.7%	45.0%	52.3%	29.6%	64.4%
% of Total Revenues	3.2%	3.3%	3.8%	5.2%	4.3%	4.1%	6.4%
% of Full Year		21.0%	36.0%	23.2%	19.8%	100.0%	100.0%
Gaming Products	262,100	45,600	80,000	20,000	25,000	170,600	178,550
Growth	-22.5%	-20.1%	-42.9%	-31.0%	-30.6%	-34.9%	4.7%
% of Revenues	24.6%	18.0%	21.7%	9.0%	10.9%	15.9%	15.9%
% of Full Year	100.0%	22.0%	53.4%	11.1%	13.5%	100.0%	100.0%
Other	26,757	6,374	7,712	7,000	7,000	28,086	25,000
Growth	-52.6%	-6.1%	0.5%	-36.6%	460.0%	5.0%	-11.0%
Total Revenues	1,063,457	253,974	368,712	223,083	228,946	1,074,715	1,125,574
Growth	-3.4%	10.9%	-6.3%	4.7%	0.5%	1.1%	4.7%
Cost of Revenues	930,605	216,793	321,616	194,000	199,000	931,409	970,000
Growth	-4.2%	6.6%	-8.5%	5.4%	3.8%	0.1%	4.1%
% of Revenues	87.5%	85.4%	87.2%	87.0%	86.9%	86.7%	86.2%
Gross Profit	132,852	37,181	47,096	29,083	29,946	143,306	155,574
Growth	3.1%	45.6%	11.4%	0.1%	-16.7%	7.9%	8.6%
% of Revenues	12.5%	14.6%	12.8%	13.0%	13.1%	13.3%	13.8%
Operating Expenses							
Distribution and Fulfillment Expense	40,375	9,920	12,121	9,500	9,200	40,741	42,000
Growth	-17.3%	10.0%	-2.4%	-4.9%	2.8%	0.9%	3.1%
% of Revenues	3.8%	3.9%	3.3%	4.3%	4.0%	3.8%	3.7%
Selling, General and Administrative Expense	56,172	15,078	16,591	15,500	15,750	62,919	65,000
Growth	-2.6%	14.7%	20.2%	9.3%	4.7%	12.0%	3.3%
% of Revenues	5.3%	5.9%	4.5%	6.9%	6.9%	6.0%	5.8%
Stock based compensation		0.125	0.069	0.125	0.125	0.500	0.500
Adjusted EBITDA	36,363	12,208	18,453	4,208	5,121	39,990	49,074
Growth	53.1%	262.0%	14.8%	-13.9%	-57.4%	10.0%	22.7%
Margin	3.4%	4.8%	5.0%	1.9%	2.2%	3.7%	4.4%
Depreciation & Amortization	5,154	1,286	1,290	1,350	1,350	5,276	5,600
Transaction Costs	0,957	0,370	0,225			0,595	
Restructuring Costs	0,073		0,002			0,002	
Gain on Insurance Claims			(0,408)			(0,408)	
Gain on Disposal of Fixed Assets	(0,015)	(0,020)	(0,004)			(0,024)	
Total Operating Expenses	102,716	26,634	29,817	26,350	26,300	109,101	112,600
Growth	-10.5%	13.5%	8.5%	3.2%	0.2%	6.2%	3.2%
% of Revenues	9.7%	10.5%	8.1%	11.8%	11.5%	10.2%	10.0%
Operating income (loss)	30,136	10,547	17,279	2,733	3,646	34,205	42,974
Growth	113.1%	407.3%	16.8%	-22.6%	-62.5%	13.5%	25.6%
% of Revenues	2.8%	4.2%	4.7%	1.2%	1.6%	3.2%	3.8%
Change in fair value of warrants	0,853	1,462	0,850	1,000	0,600	3,912	1,600
Interest expense	10,575	2,347	3,454	0,450	0,650	6,901	5,100
Total other expense	11,428	3,809	4,304	1,450	1,250	10,813	6,700
Income before income taxes	18,708	6,738	12,975	1,283	2,396	23,392	36,274
Provision for income taxes	3,630	1,858	3,587	0,321	0,599	6,365	9,069
Net Income	15,078	4,880	9,388	0,962	1,797	17,027	27,206
Net fully diluted income per Share	\$0.30	\$0.10	\$0.18	\$0.02	\$0.04	\$0.33	\$0.53
Net Fully Diluted Shares	50,966	50,996	51,011	51,100	51,100	51,100	51,300

Source: Company Reports & Noble Financial

Alliance Entertainment Holding

Closing Price Feb 12, 2026 \$6.38



A - 01/16/2026 Outperform Target \$11.00 Current \$7.70

B - 01/13/2026 Outperform Target \$11.00 Current \$7.57

C - 12/10/2025 Outperform Target \$11.00 Current \$7.87

D - 11/14/2025 Outperform Target \$11.00 Current \$6.38

E - 11/13/2025 Outperform Target \$11.00 Current \$6.66

F - 10/14/2025 Outperform Target \$11.00 Current \$6.37

G - 10/06/2025 Outperform Target \$11.00 Current \$6.67

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The fundamental assessment rating system is designed to provide insights on the company's fundamentals both on a macro level, which incorporates a company's market opportunity and competitive position, and on a micro/company specific level. The micro/company specific attributes include operating & financial leverage, and corporate governance/management. The number of check marks that a company receives is designed to provide a quick reference and easy determination of the company's fundamentals based upon the following five attributes of the company (weighting reflects the importance of each attribute in the overall scoring of company's fundamental analysis):

Attribute	Weighting
Corporate Governance/Management	20%
Market Opportunity Analysis	20%
Competitive Position	20%
Operating Leverage	20%
Financial Leverage	20%

For each attribute, the analysts score the company from a low of zero to a high of ten based upon the analysis described below. The final rating and resulting check marks is a result of dividing the overall score (out of 100%) by ten.

Rating	Score	Checks
Superior	9.1 to 10	Five Checks
Superior	8.1 to 9	Four & A Half Checks
Above Average	7.1 to 8	Four Checks
Above Average	6.1 to 7	Three & A Half Checks
Average	5.1 to 6	Three Checks
Average	4 to 5	Two & A Half Checks
Below Average	3 to 3.9	Two Checks
Below Average	2 to 2.9	One & A Half Checks
Low Quality	0 to 1.9	One Check

While these are the attributes currently used for the analyst's fundamental analysis, the attributes and weighting may be reviewed, updated with additional attributes, and/or changed in the future based on discussions with the analysts and recommendations from the Director of Research.

Following is the description of each attribute in the fundamental analysis.

Corporate Governance/Management

We believe that a review of corporate governance and assessment of the senior management are important tools to determine investment merit. Good corporate governance aligns management with the interests of stakeholders. As such, analysts are to rank the company on the basis of good corporate governance principles that may include rules and procedures, board composition and staggered term limits, rights and responsibilities, corporate objectives, monitoring of actions and policies, and accountability. In addition, analysts will assess issues with controlling shareholders and whether decisions have been made in the past that were in the interests of all shareholders. In addition, management will be assessed based on industry experience, expertise, and/or track record.

High ranking example: Board and management that is aligned with the interests of shareholders with incentives based on stock price appreciation and with an experienced management team known for exceptional shareholder returns.

Low ranking example: Concentrated ownership without independent directors that do not necessarily align with all shareholders' interests.

The Market Opportunity Analysis

In this review, the analyst assesses the company's macro environment as a measure of understanding the industry. Factors considered include the size and growth potential of the industry under various economic conditions, the emerging demands in the market, technological benefits/disruptions, competition, geographical opportunities, and customer demands/needs, and an assessment of supply and distribution channels. In addition, the analyst will review legal and regulatory trends, as well as potential shifts in consumer or social behavior and natural environment changes.

High rank example: A company in an industry that is growing revenues well above GDP rates (which are on average 2% plus) and/or may have unmet or underserved needs in a rapidly growing market opportunity.

Low rank example: A mature industry that is in secular decline and likely to grow below GDP rates.

Competitive Position

The evaluation of the company's competitive position is another macro environment attribute designed to measure the relevance, market share, position and value proposition, and sustainable differentiations of the company and its products/services within its industry. Ease of entry into the industry and the ability of other well-funded players to potentially enter the market would be determined. As such, the assessment would consider the company's strengths and advantages of its products/services against weaknesses and limitations. This may include the company's current brand awareness, pricing and cost structure, current market strategies and geographic penetration that may affect demand for its products/services. In addition, the company's competitors would be evaluated.

High rank example: An analyst would consider the company's product to be superior to its competitors and that should allow the company to gain market share.

Low rank example: A company with a "me-too" product that does not have any significant technology advantages in an industry that has low barriers to entry.

Operating Leverage

Simplistically, operating leverage is determined by the operating income relative to changes in revenue. The analyst will calculate the impact on sensitivity on gross margins and variable costs to determine operating leverage. The analyst will take into account the ability of the company to cut fixed and variable costs in a challenged revenue environment and technological changes that may impact operating expenses. In addition, the analyst is to assess corporate strategies that include capital investment, which may be required for sustainable revenue growth, marketing expenses, and the company's ability to attract and retain talent and/or employees. The analyst should focus on the revenue opportunity and determine the price elasticity of demand for the company's products or services. In other words, the analyst is to rank the company based on improved operating margins going forward on an absolute and relative basis.

High rank example: A company that has improving margins for the foreseeable future, with significant price elasticity.

Low rank example: A company that is in a challenged revenue environment with a fixed cost structure and limited ability to cut costs, indicating an outlook for declining margins.

Financial Leverage

A strict definition of financial leverage is total debt divided by total shareholder's equity. Financial leverage analysis is to determine the company's ability to improve shareholder value by means of utilizing its balance sheet to grow organically or to acquire assets. Analysts may look at the company's debt to cash flow leverage ratio, interest coverage ratios, or debt to equity ratios. In addition, the interest rate environment and the outlook for interest rates are a factor in determining the company's ability to manage financial leverage. Finally, the analyst is expected to determine the ability to service the debt given the industry and/or company profile, such as cyclical, barriers to entry, history of bankruptcy, consistency in revenue and profit growth, or predictability in sales and profits and large cash reserves. The analyst is expected to take into account capital intensity of the company and the anticipated of capital allocation decisions.

High rank example: A company with predictable and growing revenue and cash flow with modest debt levels. This may indicate that the company could improve shareholder value through growth investments, including acquisitions, using debt financing.

Low rank example: A company in a cyclical industry in a late stage economic cycle that has above average debt leverage and is in an industry that has a history of financial challenges, including bankruptcies.

ANALYST CREDENTIALS, PROFESSIONAL DESIGNATIONS, AND EXPERIENCE

Director of Research. Senior Equity Analyst specializing in Media & Entertainment. 34 years of experience as an analyst. Member of the National Cable Television Society Foundation and the National Association of Broadcasters. BS in Management Science, Computer Science Certificate and MBA specializing in Finance from St. Louis University.

Named WSJ 'Best on the Street' Analyst six times.

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Outperform: potential return is >15% above the current price	84%	15%
Market Perform: potential return is -15% to 15% of the current price	16%	5%
Underperform: potential return is >15% below the current price	0%	0%

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